

SBI Personal Loan FAQs

Q. For what purpose can I avail Personal Loan from SBI?

A. Personal Loans are general purpose loans and can be availed for any legitimate personal purpose like expenses for domestic or foreign travel, medical treatment of self or a family member, meeting any financial liability such as marriage of son/daughter, to meet educational expenses of wards, meeting margins for purchase of assets etc. The amount is determined based on repaying capacity and is not given for any speculative purpose.

Q. Do I need to have my salary account with SBI to avail SBI Personal Loan?

A. Yes. A salary account with SBI, receiving salary credits, is mandatory to avail SBI Personal Loans.

Q. Can NRI apply for Personal Loans?

A. No. The applicant must be an Indian National. Non-Resident Indian (NRI)/ Person of Indian Origin (PIO)/ Overseas Citizen of India (OCI) are not eligible for Personal Loans.

Q. I am on contract employment basis with my Company. Can I avail SBI Personal Loan?

A. Government/ Defense sector customers whose job is contractual/ non-permanent in nature but is under direct payroll of the government/ Defense establishment, without involvement of any third party can avail SBI Personal Loan.

Q. What are my loan limits?

- Minimum Loan amount: - ₹ 1,00,000/-
- Maximum Loan amount: - ₹ 50.00 lakhs subject to 30 times Net Monthly Income (NMI), applicable EMI/ NMI ratio (upto 65%) and subject to applicable terms and conditions.

Q. What is the minimum salary required for availing a Personal Loan?

A. Minimum Salary required for availing a Personal Loan is ₹ 20,000/- for Defence and Government sector customers and ₹ 25,000/- for Corporate sector customers.

Q. Can my spouse's income be included for calculating the loan amount?

A. No, spouse income cannot be added for calculating loan amount.

Q. Can I avail the loan in an Overdraft form?

A. 'Overdraft facility with reducing DP' is available for customers maintaining Diamond, Platinum or Rhodium variant Salary Package account with the Bank.

Q. What is the minimum CIBIL score required to avail SBI Personal Loan?

- In case of Defence and Government salary packages account holders, the minimum CIBIL score required to avail SBI Personal Loan is 650.

- In case of corporate salary package account holders, the minimum CIBIL score required to avail SBI Personal Loan is 670.
- New-to-Credit customers are also eligible under the product.

Q. What is the processing fee? Are there any other charges?

- Up to 1.50% of the Loan Amount (subject to minimum ₹1000/- & maximum ₹15000/-), plus GST
- Applicant will also be liable to bear the actual expenses pertaining to Stamp duty as per prevailing State Stamp Act. There are no other hidden charges.

Q. Do I have the option of choosing a fixed or floating rate for the loan?

A. No, the loan is provided on fixed rate of interest, linked to 2-Yr MCLR of the Bank . Click [here](#) for latest rate of interests.

Q. What are the important documents that I need to provide?

- Documentary evidence for ascertaining the employment details viz. Identity Card issued by Employer/ Service Certificate/ Contract Letter/ Canteen ID.
- Permanent Account Number (PAN).
- At least one copy of the Officially Valid Documents (OVDs), as proof of identity and current address.
- 6 months' Salary Slips.
- Latest ITR/ Form 16. Exception permitted for customers for whom ITR filing/ issuance of Form 16 is not mandatory, as per Govt. guidelines.
- For Defense customers, latest Leave Certificate / Movement Certificate/ Canteen Card as well as Personnel Number/ Force ID Number.
- In case the account has been shifted recently to SBI, last 6 months Bank account statement, validating the salary credits.

Q. Do I have to pledge some form of security?

A. No security is required.

Q. What is the repayment schedule like?

A. The maximum repayment period is of 7 years. Loan to be closed on or before the Date of Retirement/ Date of End of Contract/ 60 years of age, as applicable.

Q. What is EMI?

A. EMI stands for Equated Monthly Instalments. This instalment comprises both principal and interest components. Use the EMI calculator ([click here](#)) to find out your monthly payments based on the loan amount, the rate of interest and the repayment period. Choose the combination that fulfils your financial resources and requirements.

Q. Can I prepay the loan? Are there any penalties?

Any prepayment of EMIs in full or in part and closure of account before 3 years will attract the prepayment charges of 2% on prepaid amount.

Q. Is there any loans available through Digital mode without visiting the branch? If yes, then how to avail the same.

Our Personal Loan may be availed in Digital form through our YONO app in the form of Real Time Personal Loans.

Q. Is Bank offering any loans in pre-approved form?

A. Yes. Bank offers Pre-approved Personal Loan wherein the eligible customers are pre-selected on the basis of an analytic engine. Maximum loan offered under the product is ₹ 15 lakhs. For higher loan amount, customer can apply through RTPL on YONO app or visit the branch.

Q. How can I avail pre-approved loans?

A. The offer to the pre-selected customers appears on YONO and INB and is valid till the end of month in which they are offered the loan. The loan processes are end-to-end digitized (no branch visits and no physical documentation). There is a 4 click process for availing loan through YONO/ INB with instant disbursement and the option is available round the clock as long as the offer is valid. The acceptance of Terms & Conditions of loan, as listed on the App screen, is done by ticking the check box by the customer. Thereafter, the loan A/Cs are opened, loan amounts disbursed along with recovery of processing fee and setting of SI.

Q. How does SBI Personal loan compare with those offered by other banks?

- There is total transparency with regard to the rate of interest and the fees charged by us.
- We offer personal loans at the competitive rates of interest, with no security or collateral
- We levy interest based on daily reducing balance, unlike the monthly/ annual reducing balance method used by several other banks.
- Most of the Banks are offering Personal Loans linked to the floating interest rate. In such cases, customers has to pay the EMI according to upward or downward revision of benchmark rates.

Q. How do I benefit if the interest is calculated on a daily/monthly reducing balance?

- On an annual reducing balance method, you will continue to pay interest on amounts you repay during the coming one year as the interest for the year is determined on the basis of the balance outstanding at the beginning of the year.
- In the case of the daily reducing balance, which is the methodology we employ, your interest is calculated only on the outstanding loan amount, which reduces every time you pay off your EMIs or make any prepayments. This in essence lowers your effective rate of interest significantly.

Q. What are the benefits of paying loans timely?

A. Maintaining a credit discipline and repaying your loans timely helps build up a strong credit score. The rate of interest offers for new loans may be improved with an upward movement of CIBIL score.